

COVER SHEET

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SEC Registration Number

C O N C R E A T H O L D I N G S P H I L I P P I N E S ,
I N C .
(Company's Full Name)

3 4 t h F l o o r B D O L i f e M e g a p l a z a
B u i l d i n g , 3 5 8 S e n . G i l J .
P u y a t A v e n u e , M a k a t i C i t y
(Business Address: No., Street City / Town / Province)

Brian T. Lim
Contact Person

+632 8849-3600
Company Telephone Number

1 2
Month Fiscal Year

3 1
Day

SEC Form 17-Q
Third Quarter Interim Report 2025
FORM TYPE

First Monday of May
May 5, 2025
Month Day Annual Meeting

Secondary License Type, If Applicable

Dept Requiring this Doc

Amended Articles Number / Section

Total No. of Stockholders

Domestic

Total Amount of Borrowings
Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE AND SRC RULE 17(2)(b)
THEREUNDER**

1. For the quarterly period ended **September 30, 2025**
2. SEC Identification Number. **CS201518815**
3. BIR Tax Identification No. **009-133-917-000**
4. Exact name of registrant as specified in its charter. **CONCREAT HOLDINGS PHILIPPINES, INC.**
5. Province, country or other jurisdiction of incorporation or organization **Metro Manila, Philippines**
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office and postal code **34th Floor BDO Life Megaplaza, 358 Sen. Gil Puyat Avenue, Makati City, Philippines 1200**
8. Issuer's telephone number, including area code **+632 8849-3600**
9. Former name, former address and former fiscal year, if changed since last report – **Not Applicable**
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
Common Shares	13,489,226,623

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

Stock Exchange: Philippine Stock Exchange
Securities Listed: Common Shares

12. Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

- (b) has been subject to such filing requirements for the past ninety (90) days. Yes ☒ No ☐

PART I - FINANCIAL INFORMATION

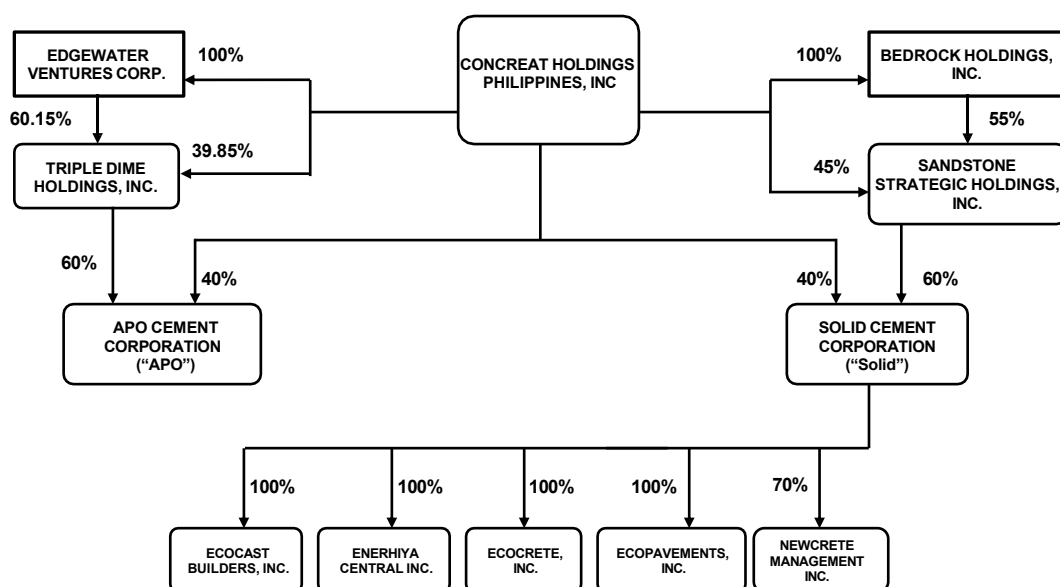
Item 1. Financial Statements

The unaudited condensed consolidated interim financial statements as at September 30, 2025, (with comparative audited consolidated statement of financial position as at December 31, 2024), and for the nine months ended September 30, 2025 and 2024, and the accompanying notes to the unaudited condensed consolidated interim financial statements of Concreat Holdings Philippines, Inc. and its Subsidiaries are filed as part of this Form 17-Q as Appendix I.

The term “CHP” or “Parent Company” used in this report refers to CONCREAT HOLDINGS PHILIPPINES, INC. without its Subsidiaries. Unless the context clearly indicates otherwise, any reference in this report to “the Company”, “we”, “us”, or “our” refers to the Parent Company together with its consolidated Subsidiaries.

The Parent Company is a subsidiary of Concreat Asian South East Corporation (“CASEC”) which was incorporated as a stock corporation under the laws of the Republic of the Philippines.

The following diagram provides a summary of the Company’s organizational and ownership structure as of September 30, 2025:



On April 25, 2024, Cemex Asia B.V. (“CABV”), the then parent company of CASEC, entered into a share purchase agreement with DMCI Holdings, Inc. (“DMC”), Semirara Mining and Power Corporation (“SMPC”) and Dacon Corporation (“Dacon”, with DMC and SMPC, the “Purchasers”) for the sale of CABV’s 42,140,266 common shares in CASEC, representing 100% of the outstanding share capital of CASEC.

The PCC issued its certification clearing the proposed sale of CABV’s 42,140,266 common shares in CASEC. The certification issued by PCC was dated 12 August 2024. Then, Dacon conducted a mandatory tender offer for CHP shares during the period from October 23, 2024 to November 21, 2024. The total number of CHP shares tendered and accepted and acquired by Dacon was 12,881,097 common shares (approximately 0.09% of the total outstanding share capital of CHP).

On December 2, 2024, Cemex Asia B.V. and the Purchasers completed the sale transaction, as a result of which DMC acquired 23,915,631 shares representing 56.75% of CASEC (and indirectly, 51% of

CHP), SMPC acquired 4,689,339 shares representing 11.13% of CASEC (and indirectly, 10% of CHP), while Dacon acquired 13,535,296 shares representing 32.12% of CASEC (and indirectly, 28.9% of CHP).

Pursuant to the transaction, the Purchasers, through CASEC, will collectively control (indirectly) 89.86% of CHP. Upon issuance of the BIR *Certificate Authorizing Registration* for the foregoing sale transaction, the Purchasers will become the registered shareholders of CASEC.

Through the transaction, the Purchasers' group has expanded into the cement manufacturing sector to align with the core expertise of DMC in engineering and construction.

As of September 30, 2025, CASEC owns and controls 12,121,954,662 common shares of CHP (inclusive of the 5 shares held by individual nominee directors), which is approximately 89.86% of the issued and outstanding common shares of CHP.

On April 25, 2025, following the approval by the Securities and Exchange Commission of its Amended Articles of Incorporation, CHP officially changed its corporate name to Concreat Holdings Philippines, Inc. The change in corporate name was approved by the Parent Company's Board of Directors on December 2, 2025, and was approved by stockholders during the special meeting of stockholders on February 12, 2025.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following is a discussion and analysis of CHP's unaudited condensed consolidated interim financial statements as at September 30, 2025 (with comparative audited consolidated statement of financial position as at December 31, 2024) and for the nine months ended September 30, 2025 and 2024, and included herein, and should be read in conjunction with Appendix I of this report.

Financial Performance

For the nine months ended September 30, 2025 and 2024:

Revenues

Revenues for the nine months ended September 30, 2025 and 2024 amounted to P11.3 billion and P12.2 billion, respectively. Revenues were generated mainly from sale of cement products. Revenues decreased by P0.9 billion or 7.1% year-over-year mainly due to lower average selling price, which was down by 5% year-over-year as a result of soft domestic demand, intense industry competition, heightened by the presence of imported cement, while cement volume was flat, with temporary production constraints affecting the start of the year until the early part of second quarter 2025.

The breakdown of revenues after elimination of transactions between consolidated entities were as follows:

Segment	For the nine months ended September 30,			
	2025		2024	
	Amount*	% Sales	Amount*	% Sales
Cement sales	P11,341	100%	P12,123	99%
Other sales	4	0%	83	1%
Total	P11,345	100%	P12,206	100%

**Amounts in millions*

Cost of Sales

Cost of sales for the nine months ended September 30, 2025 and 2024 amounted to P9.8 billion and P10.0 billion, respectively, a decrease of P0.2 billion or 2.1% year-over-year. Cost of sales represents the production cost of goods sold. Costs arose mainly from power and fuel consumption, raw materials and supplies used during production, depreciation, and other expenses directly attributable to the manufacturing of finished goods. The decrease in cost of sales includes cost savings from synergies with affiliate companies, including increased use of Semirara coal as fuel.

Gross Profit

As a result of the above conditions, gross profit for the nine months ended September 30, 2025 and 2024 reached P1.6 billion and P2.2 billion, corresponding to 13.8% and 18.2% of revenues, respectively.

Operating Expenses

Operating expenses for the nine months ended September 30, 2025 and 2024 amounted to P2.9 billion and P4.0 billion, respectively which corresponded to 25.5% and 32.5% of revenues. Operating expenses pertain to administrative, selling, and distribution expenses. Operating expenses decreased by P1.1 billion or 27.1% year-over-year.

- *Administrative and selling expenses* for the nine months ended September 30, 2025 and 2024 amounted to P0.8 billion and P1.6 billion, respectively, and these corresponded to 6.7% and 12.8% of revenues of the relevant periods. On a year-over-year basis, these items reflected a P0.8 billion or 51.4% decrease mainly as a result of the cessation of royalty and fees previously paid to Cemex.

- *Distribution expenses* for the nine months ended September 30, 2025 and 2024 amounted to P2.1 billion and P2.4 billion, respectively, and corresponded to 18.8% and 19.7% of revenues for the relevant periods. The decrease of P0.3 billion or 11.3% was mainly due to savings initiatives which led to the reduction of warehouses and terminals which are no longer needed, and the replacement of expensive modes of transport with cheaper alternatives.

Operating Loss before Other Income - net

For the reasons discussed above, operating loss before other income - net for the nine months ended September 30, 2025 and 2024 amounted to P1.3 billion and P1.7 billion, respectively, which correspond to (11.6%) and (14.3%) of revenues, respectively.

Other Income - net

Other income, net for the nine months ended September 30, 2025 and 2024 amounted to (P435.1) million and (P79.6) million, respectively, corresponding to (3.8%) and less than (1%) of the revenues for both relevant periods. The decrease of (P355.5) million or over 100% year-over-year was mainly due to the write-down of old power self-generation assets in APO Cement Plant in second quarter 2025.

Financial and Other Financial Expenses - net

Financial and other financial expenses, net for the nine months ended September 30, 2025 and 2024 amounted to P1,249.8 million and P586.2 million, respectively, and corresponded to 11.0% and 4.8% of the revenues, respectively for the relevant periods. This account principally pertains to the costs incurred by the Company from borrowings. The increase of P663.7 million or over 100% year-over-year was mainly due to higher bank loan balances. In addition, last year benefitted from the capitalization of interest related to the 1.5 million-ton per year New Line project in Solid Cement Plant ("Solid New Line Project").

Foreign Exchange Gain (Loss) - net

Foreign exchange gain (loss), net for the nine months ended September 30, 2025 and 2024 amounted to (P8.0) million and (P117.0) million, respectively, and corresponded to less than (1%) and (1.0%) of the revenues, respectively. The first nine months of 2025 improved by P109.0 million or a 93.1% gain year-over-year, as the same period last year included foreign exchange losses from payables and loans previously owed to Cemex. These payables, in the form of foreign-currency denominated loans, were settled in December 2024.

Provision for (Benefit from) Income Tax

The provision for income tax for the nine months ended September 30, 2025 and 2024 amounted to P19.2 million and 348.6 million, respectively, and correspond to less than 1% and 2.9% of the revenues, respectively. The decrease by P329.4 million or 94.5% was mainly due to a decrease in deferred tax assets (non-cash expenses).

Loss

As a result of the abovementioned concepts, net loss for the nine months ended September 30, 2025 and 2024 amounted to P3.0 billion and P2.9 billion, which corresponded to 26.7% and 23.5% of the revenues, respectively. The net loss for nine months of 2025 was mainly a result of operating loss, higher financial expenses year-over-year, and a nonrecurring item amounting to P452 million pertaining to the write-down of old power self-generation assets in APO Cement Plant.

EBITDA loss for the first nine months of 2025 narrowed to P32.6 million, compared with P315.6 million last year, as cost savings and operational improvements were partially offset by lower sales and temporary production constraints.

EBITDA for the third quarter of 2025 turned positive at P155.0 million, compared to a loss of P146.1 million in the same period last year, driven by lower fuel and logistics costs, as well as synergies from the DMCI Group and the cessation of royalties and management fees previously paid to Cemex.

The Company is focused on expanding operations and gaining efficiencies through its new capacity in Solid Cement, use of Semirara coal, fly ash blending, and better supply chain management. The company is also strengthening its distribution network and using alternative fuels to lower costs. To further reduce unit costs, ongoing projects at Solid and APO cement plants aim to expand facilities, boost output, and improve efficiency. These are expected to be completed within the next two quarters.

Financial Position

As at September 30, 2025 and December 31, 2024:

Cash and Cash Equivalents

Cash and cash equivalents as at September 30, 2025 and December 31, 2024, amounted to P1.6 billion and P1.9 billion, respectively, and corresponded to 3.4% and 3.9% of the total assets, respectively for the relevant periods. Below is the breakdown of P318.9 million or 16.5% decrease in cash and cash equivalents:

	Amount*
Net cash used in operating activities	(P824.0)
Net cash provided by investing activities	308.3
Net cash provided by financing activities	196.7
Effect of exchange rate changes on cash and cash equivalents	0.1
Total movement	(P318.9)

*Amounts in millions

For the nine months ended September 30, 2025, the Company had a net loss amounting to P3.0 billion. After considering the adjustments to reconcile loss to net cash flows, the operating loss before working capital changes amounted to P36.1 million. Thereafter considering the working capital changes, interest paid/received, taxes paid, and benefits paid to employees, the net cash used in operating activities amounted to P824.0 million. The net cash provided by investing activities amounted to P308.3 million mainly from collection of debt reserve offset by additions to property, plant and equipment. The net cash provided by financing activities amounted to P196.7 million net of loan drawdown and payment of long-term and short-term bank loans.

Trade receivables

Trade receivables amounted as at September 31, 2024 and December 31, 2024 to P786.3 million and P737.8 million, respectively, and corresponded to 1.7% and 1.5% of the total assets, respectively for the relevant periods. The increase of P48.5 million or 6.6% was mainly due to net receivable for nontrade transactions.

Related Party Balances

Due from related parties as at September 30, 2025 and December 31, 2024 amounted to P126.9 million and P91.3 million, respectively, corresponding to less than 1% of the total assets for both relevant periods. The due from related parties, which increased by P35.6 million or 38.9% year-over-year, was mainly due to the sale of cement.

The short-term related party payable balances as at September 30, 2025 and December 31, 2024 amounted to P815.4 million and P795.3 million, respectively, which correspond to 1.7% and 1.6% of the total liabilities and equity, respectively. The increase of P20.1 million or 2.5% was mainly due to raw materials and supplies purchases.

Other Current Accounts Receivable

Other current accounts receivable as at September 30, 2025 and December 31, 2024, which pertains to receivables from contractors and employees, and other non-trade transactions, amounted to P0.2 billion and P1.4 billion, respectively, which corresponded to less than 1% and 2.8% of the total assets, respectively. The decrease of P1.2 billion or 88.6% was mainly due to collection of debt service reserve

account related to financial covenants of the 2022 BDO Facility Agreement¹.

Inventories

Inventories as at September 30, 2025 and December 31, 2024 amounted to P2,283.4 million and P2,336.2 million, respectively, which corresponded 4.8% and 4.7% of the total assets, respectively. The decrease of P52.8 million or 2.3% was due to higher goods-in-process inventory.

Prepayments and Other Current Assets

Other current assets amounted to P3.0 billion and P2.9 billion as at September 30, 2025 and December 31, 2024, respectively. Movement in this account was primarily due to prepaid taxes, unamortized balance of prepaid insurance accounts and advances to suppliers. The aggregate of prepayments and other current assets accounted for 6.5% and 6.0% of the total assets as at September 30, 2025 and December 31, 2024, respectively. The increase of P0.1 billion or 3.1% was due to prepaid services.

Advances to Contractors

As at September 30, 2025 and December 31, 2024, the balance of this account amounted to P14.3 million and P55.7 million, respectively, and corresponded to less than 1% of the total assets, for both relevant periods. The decrease of P41.4 million or 74.2% was mainly due to recoupment.

Property, Machinery, Equipment and Assets for the Right-of-Use - net

Property, machinery, and equipment, net as at September 30, 2025 and December 31, 2024 had a balance of, P27.3 billion and P27.8 billion, respectively, and corresponded to 57.7% and 56.1% of the total assets, respectively. Furthermore, for the nine months ended September 30, 2025, and 2024, P808.0 million and P2,232.0 million, respectively, were incurred for expansionary capital expenditures related to the Solid New Line Project, while P450.0 million and P216.0 million, respectively, were incurred for other capital expenditures.

Assets for the right-of-use, net as at September 30, 2025 and December 31, 2024 amounted to P1,943.3 million and P2,203.8 million, respectively, and corresponded to 4.1% and 4.4% of the total assets, respectively. The decrease of P260.5 million or 11.8% was mainly due to the reduction of terminals and other distribution assets.

Goodwill and other intangible assets

Goodwill as at September 30, 2025 and December 31, 2024 amounted to P8.3 billion and corresponded to approximately 17.5% and 16.7% of total assets, respectively for the relevant periods. The Company's goodwill arose from business combinations when CHP acquired its subsidiaries in 2016.

Other intangible assets amounted to P0.7 billion as of September 30, 2025 and December 31, 2024 and corresponded to 1.6% and 1.5% of the total assets, respectively. On June 14, 2024, APO and Solid, the principal operating subsidiaries of the Parent Company, executed Agreements for the Assignment of Trademarks with Cemex Innovation Holding Ltd. ("CIH"), whereby APO and Solid acquired and purchased from CIH certain trademarks associated with their respective businesses with total amount of P736.4 million. These trademarks include, among others, "APO Cement", "Rizal" and "Island".

Trade Payables

Trade payables amounted as at September 30, 2025 and December 31, 2024 to P4.5 billion and P4.1 billion, respectively, and corresponded to 9.6% and 8.3% of the total liabilities and equity, respectively, for the relevant periods. The increase of P0.4 billion or 11.0% year-over-year due to increase of payables to contractors.

¹ "2022 BDO Facility Agreement" refers to the 5-year senior unsecured Philippine Peso long-term loan facility agreement that the Parent Company signed with BDO Unibank, Inc. ("BDO") on July 28, 2022, for a principal amount of up to Six Billion Six Hundred Ninety Million Philippine Pesos (P6,690,000,000.00), the loan proceeds of which was used to repay a portion of the outstanding indebtedness under its facility agreement with BDO in 2017 equivalent to approximately P6.68 billion.

Contract Liabilities, Other Accounts Payable, Accrued Expenses and Income Tax Payable

Contract liabilities, unearned income, other accounts payable, accrued expenses and income tax payable as at September 30, 2025 and December 31, 2024 amounted to P750.4 million and P714.8 million and corresponded to 1.6% and 1.4% of the total liabilities and equity, respectively for the relevant periods. These accounts comprise of accruals, contract liabilities (which include advances from customers), provisions, taxes payable and other payables. The increase of P35.6 million or 5.0% year-over-year was due to higher receipt of advances from customers.

Lease Liabilities

As at September 30, 2025 and December 31, 2024 the current portion of finance lease liabilities amounted to P182.7 million and P349.0 million, respectively, and noncurrent portion of finance lease liabilities amounted to P2.2 billion, for both years. Total lease liabilities as a percentage of total liabilities and equity were at 5.0% and 5.1% as at September 30, 2025 and December 31, 2024, respectively. The decrease of P186.0 million or 7.3% year-over-year was mainly due the reduction of terminals and other distribution assets.

Bank Loans

Long-term bank loan

The total outstanding balance of the 2022 BDO Facility Agreement amounted to P5.0 billion and P6.2 billion as at September 30, 2025 and December 31, 2024, respectively. The unamortized debt issuance cost of this long-term bank loan, amounting to P18.4 million and P25.9 million, was deducted from the total loan liability as at September 30, 2025 and December 31, 2024. Current portion of the bank loan amounted to P1.7 billion as at September 30, 2025 and December 31, 2024, respectively.

In 2024, APO and SOLID signed new term loan facility agreements with BPI and BDO, respectively (collectively, the “2024 Facility Agreements”). For further details, see Note 13 of Appendix I.

The balance of existing bank loans, net of debt issuance cost, amounted to P22.3 billion and P22.6 billion, accounted for 47.3% and 45.6% of the total liabilities and equity as at September 30, 2025 and December 31, 2024, respectively.

Short-term bank loan

As at September 30, 2025 and December 31, 2024, the short-term loans of the Company amounted to nil and P950.0 million, respectively, and corresponded to nil and 1.9% of the total liabilities and equity, respectively for the relevant periods. The decline of P950.0 million was due to payment of short-term loan.

Common Stock

As of September 30, 2025 and December 31, 2024, the total authorized common stock of the *Equity Attributable to Equity Holders* of CHP consisted of 18,810,395,454 shares at a par value of P1 per share and the total issued and outstanding common stock was 13,489,226,623 shares. This accounted for 28.5% and 27.2% of total liabilities and equity, respectively, for the relevant periods.

Additional Paid-in Capital

As at September 30, 2025 and December 31, 2024, the additional paid-in capital amounted to P26,217.8 million and corresponded to 55.5% and 52.9% of the total liabilities and equity, respectively for the relevant periods. The subscription payments received in excess of the par value of shares issued are recognized in this account.

Retained Earnings (Deficit)

Retained earnings (deficit) as at September 30, 2025 and December 31, 2024 amounted to (P25.3) billion and (P22.3) billion, respectively, and corresponded to (53.6%) and (45.0%) of the total liabilities and equity, respectively for the relevant periods.

This account includes a goodwill revaluation of P19.6 billion in 2024, which aligns with current market

conditions and is consistent with the purchase price of the Purchasers. Excluding this nonrecurring item, retained earnings (deficit) as at September 30, 2025 and December 31, 2024 amounted to (P5.7) billion and (P2.7) billion, respectively.

This item includes the Company's cumulative net results of operations. The decrease of P3.03 billion or 13.6% pertains to the consolidated loss for the nine months ended September 30, 2025.

Non-controlling interest

As at September 30, 2025 and December 31, 2024, non-controlling interest amounted to P23 thousand and P54 thousand, respectively, and corresponded to less than 1% of the total equity for each of the relevant periods. The P31 thousand or 57.4% decrease year-over-year is ascribed to the portion of loss incurred by a subsidiary of CHP which is not wholly-owned.

Key Performance Indicators

The Company sets certain performance measures to gauge its operating performance periodically and to assess its overall state of corporate health. Listed below are the major performance measures which the Company has identified as reliable performance indicators. Analyses are employed by comparisons and measurements on a consolidated basis based on the financial data as of the relevant periods indicated in the tables below.

Key Financial Indicators	Formula	For the nine months ended September 30, 2025	For the year ended December 31, 2024
Current Ratio	Current Assets / Current Liabilities	1.01:1	1.10:1
Net debt* to Equity Ratio	Net debt* / Total Equity	1.43:1	1.23:1
Asset to Equity Ratio	Total Assets / Total Equity	1.45:1	1.55:1

**Net debt is computed as total debt less cash and cash equivalents.*

PART II - OTHER INFORMATION

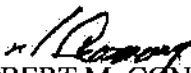
1. The Company's sales are subject to seasonality. Sales are generally higher in the hot, dry months from March through May and lower during the wetter monsoon months of June through November. While these factors lead to a natural seasonality on the Company's sales, unseasonable and/or intense weather could also significantly affect sales and profitability. Low sales are likewise experienced around the Christmas and New Year holiday period in December through early January, and may be affected by periods with multiple holidays, which may affect construction activity. Consequently, the Company's operating results may fluctuate.
2. Economic developments, levels of public and private construction activities, demand for cement products, and the movement in the cost of materials, products and services on which the Company and its business depend, as well as the availability of such materials, which include fuel, power and raw materials, among others, can affect the Company's recurring revenues and profits.
3. There are no undisclosed material subsequent events and transferring of assets not in the normal course of business that have not been disclosed for the period that the Company has knowledge of.
4. There are no material contingencies during the interim period; events that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation has been disclosed in the notes to financial statements.
5. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.
6. There are no known trends or any known demands, commitments, events or uncertainties that will result in or that will have a material impact on the registrant's liquidity.
7. The Group does not have any offering of rights, granting of stock options and corresponding plans therefore.
8. All necessary disclosures were made under SEC Form 17-C.

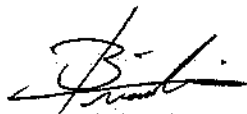
SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

CONCREAT HOLDINGS PHILIPPINES, INC.

By:


HERBERT M. CONSUNJI
President and Chief Executive Officer
13 November 2025


BRIAN T. LIM
Treasurer and Chief Financial Officer
13 November 2025

Cautionary Statement Regarding Forward-Looking Statements

The information contained in this report may include forward-looking statements. We intend for these forward-looking statements to be covered by any applicable safe harbor provisions for forward-looking statements within the meaning of securities laws. These forward-looking statements and information are necessarily subject to risks, uncertainties, and assumptions, including but not limited to statements related to CHP's plans, objectives, expectations (financial or otherwise), and typically can be identified by the use of words such as "may," "assume," "might," "should," "could," "continue," "would," "can," "consider," "anticipate," "estimate," "expect," "envision," "plan," "believe," "foresee," "predict," "potential," "target," "strategy," "intend," "aimed", or other similar terms. Although CHP believes that its expectations are reasonable, it can give no assurance that these expectations will prove to be correct, and actual results may vary materially from results anticipated by forward-looking statements due to various factors. These forward-looking statements reflect, as of the date on which such forward-looking statements are made, or unless otherwise indicated, our current expectations and projections about future events based on our knowledge of present facts and circumstances and assumptions about future events. These statements necessarily involve risks, uncertainties, and assumptions that could cause actual results to differ materially from those anticipated in this press release. Among others, such risks, uncertainties, and assumptions that could cause results to differ, or that otherwise could have an impact on us or the transactions described herein, include those discussed in CHP's most recent annual report and those detailed from time to time in its filings with the Philippine Securities and Exchange Commission, which factors are incorporated herein by reference, including, but not limited to: the impact of pandemics, epidemics or outbreaks of infectious diseases and the response of governments and other third parties, which could adversely affect, among other matters, the ability of operating facilities to operate at full or any capacity, supply chains, international operations, availability of liquidity, investor confidence and consumer spending, as well as the availability of, and demand for, products and services; the cyclical activity of the construction sector; exposure to other sectors that impact businesses, such as, but not limited to, the energy sector; availability of raw materials and related fluctuating prices of raw materials, as well as of goods and services in general, in particular increases in prices as a result of inflation; volatility in pension plan asset values and liabilities, which may require cash contributions to the pension plans; the impact of environmental cleanup costs and other remedial actions, and other liabilities relating to existing and/or divested businesses; ability to secure and permit aggregates reserves in strategically located areas; the timing and amount of national and local funding for infrastructure; changes in the level of spending for private residential and private nonresidential construction; changes in effective tax rate; competition in the markets in which products and services are offered; general political, social, health, economic and business conditions and any significant economic, health, political or social developments, as well as any inherent risks to international operations; the regulatory environment, including environmental, energy, tax, labor, antitrust, and acquisition-related rules and regulations; ability to satisfy obligations under material debt agreements; the availability of short-term credit lines or working capital facilities, which can assist in connection with market cycles; loss of reputation of brands; ability to fully integrate newly acquired businesses, achieve cost-savings from cost-reduction initiatives, implement pricing initiatives for products and ability to generally meet business strategy goals; the increasing reliance on information technology infrastructure for sales, invoicing, procurement, financial statements and other processes that can adversely affect sales and operations in the event that the infrastructure does not work as intended, experiences technical difficulties or is subjected to cyber-attacks; changes in the economy that affect the demand for consumer goods; climate change, in particular reflected in weather conditions, including but not limited to, excessive rain, and disasters such as earthquakes and floods, that could affect facilities or markets; trade barriers, including tariffs or import taxes and changes in existing trade policies or changes to, or withdrawals from, free trade agreements; availability and cost of trucks, railcars, barges and ships, as well as their licensed operators and drivers, for transport of materials; labor shortages and constraints; terrorist and organized criminal activities, as well as geopolitical events, such as war and armed conflicts; declarations of insolvency or bankruptcy, or becoming subject to similar proceedings; and, natural disasters and other unforeseen events. Many factors could cause CHP's expectations, expected results, and/or projections expressed in this report, not being reached and/or not producing the expected benefits and/or results, as any such benefits or results are subject to uncertainties, costs, performance, and rate of implementation of technologies, some of which are yet not proven. Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, the results, transactions, performance or achievements expressly or implicitly anticipated by the forward-looking statements, or otherwise could have an impact on the transactions described herein. Forward-looking statements should not be considered guarantees of future outcomes. Any or all forward-looking statements may turn out to be inaccurate and the factors identified above are not exhaustive. Accordingly, undue reliance on forward-looking statements should not be placed, as such forward-looking statements speak only as of the dates on which they are made. These factors may be revised or supplemented, but CHP is not under, and expressly disclaims, any obligation to update or correct the information contained in this report or any forward-looking statement that it may make from time to time, whether as a result of new information, future events or otherwise. Readers should review future reports filed by us with the Philippine Securities and Exchange Commission. Unless the context indicates otherwise, all references to pricing initiatives, price increases or decreases, refer to the CHP Group's prices for the CHP Group's products. We generated some of this data internally, and some was obtained from independent publications and reports that we believe to be reliable sources. We have not independently verified this data nor sought the consent of any organizations to refer to their reports in this report.

CONCREAT HOLDINGS PHILIPPINES, INC. AND SUBSIDIARIES

**CONDENSED CONSOLIDATED INTERIM
STATEMENTS OF FINANCIAL POSITION**

(Amounts in Thousands)

		September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
	<i>Notes</i>		
ASSETS			
Current Assets			
Cash and cash equivalents	6, 14	P1,616,129	P1,935,047
Trade receivables - net	4, 14	786,320	737,803
Due from related parties	11, 14	126,892	91,328
Other current accounts receivable	14	158,713	1,393,228
Inventories		2,283,422	2,336,205
Prepayments and other current assets		3,048,382	2,955,743
Total Current Assets		8,019,858	9,449,354
Noncurrent Assets			
Investment in an associate and other investments		13,173	13,173
Advances to contractors		14,360	55,717
Other assets and noncurrent accounts receivable		268,394	348,935
Property, machinery and equipment and assets for the right-of-use - net	7	29,214,394	29,990,224
Goodwill	8	8,261,875	8,261,875
Trademarks	8	736,432	736,432
Deferred income tax assets - net		730,786	712,053
Total Noncurrent Assets		39,239,414	40,118,409
TOTAL ASSETS		P47,259,272	P49,567,763
LIABILITIES AND EQUITY			
Current Liabilities			
Trade payables	14	P4,550,884	P4,099,373
Due to related parties	11, 14	815,433	795,287
Accrued expense and other payables		501,879	515,204
Current portion of:			
Lease liabilities	9, 14	182,702	349,032
Long-term bank loan	13, 14	1,670,938	1,670,938
Short-term bank loan	13, 14	—	950,000
Contract liabilities	4, 14	247,461	197,547
Income tax payable		1,072	2,021
Total Current Liabilities		P7,970,369	P8,579,402

Forward

		September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Noncurrent Liabilities			
Long-term bank loan - net of current portion	13, 14	P20,662,346	P20,912,070
Lease liabilities - net of current portion	9, 14	2,171,651	2,191,370
Retirement benefits liability		243,865	254,285
Deferred income tax liabilities - net		5,328	438
Other noncurrent liabilities		1,607,508	—
Total Noncurrent Liabilities		24,690,698	23,358,163
Total Liabilities		32,661,067	31,937,565
Equity			
Common stock	10	13,489,227	13,489,227
Additional paid-in capital		26,217,799	26,217,799
Other equity reserves	10	228,342	228,342
Retained earnings (Deficit)		(25,337,186)	(22,305,224)
Equity Attributable to Equity Holders of the Parent Company		14,598,182	17,630,144
Non-controlling interest	2	23	54
Total Equity	10	14,598,205	17,630,198
TOTAL LIABILITIES AND EQUITY		P47,259,272	P49,567,763

The accompanying notes are part of these condensed consolidated interim financial statements

CONCREAT HOLDINGS PHILIPPINES, INC. AND SUBSIDIARIES

**CONDENSED CONSOLIDATED
INTERIM STATEMENTS OF COMPREHENSIVE INCOME (LOSS)**

(Amounts in Thousands, Except Per Share Data)
(Unaudited)

		For the Nine Months Ended September 30		For the Three Months Ended September 30	
	<i>Note</i>	2025	2024	2025	2024
REVENUES	4	P11,344,534	P12,206,457	4,086,879	P4,055,682
COST OF SALES		(9,774,495)	(9,982,017)	(3,320,151)	(3,363,070)
GROSS PROFIT		1,570,039	2,224,440	766,728	692,612
OPERATING EXPENSES					
Administrative and selling expenses		(759,757)	(1,563,229)	(255,355)	(518,986)
Distribution expenses		(2,130,194)	(2,401,964)	(751,910)	(805,495)
TOTAL OPERATING EXPENSES		(2,889,951)	(3,965,193)	(1,007,265)	(1,324,481)
OPERATING LOSS BEFORE OTHER INCOME – Net		(1,319,912)	(1,740,753)	(240,537)	(631,869)
OTHER INCOME (EXPENSES) – Net		(435,053)	(79,594)	10,891	(84,349)
OPERATING LOSS AFTER OTHER INCOME – Net		(1,754,965)	(1,820,347)	(229,646)	(716,218)
FINANCIAL AND OTHER FINANCIAL EXPENSES – Net		(1,249,836)	(586,184)	(409,651)	(367,735)
FOREIGN EXCHANGE GAIN (LOSS) – Net		(8,034)	(117,033)	2,502	943,080
LOSS BEFORE INCOME TAX		(3,012,835)	(2,523,564)	(636,795)	(140,873)
BENEFIT (PROVISION) FOR INCOME TAX		(19,157)	(348,569)	8,773	(304,710)
LOSS		(3,031,992)	(2,872,133)	(628,022)	(445,583)
OTHER COMPREHENSIVE INCOME (LOSS)					
<i>Items that will not be reclassified subsequently to profit or loss</i>					
Gain (Loss) on remeasurement on retirement benefits liability		—	32,904	—	2,872
Tax effect		—	(8,226)	—	(718)
	10	—	24,678	—	2,154
<i>Items that will be reclassified subsequently to profit or loss:</i>					
Currency translation gain (loss) of a foreign subsidiary			82,447		(455,208)
Cash flow hedges - effective portion of changes in fair value		—	(5,989)	—	(6,850)
Cash flow hedges - reclassified to profit or loss		—	—	—	—
		—	76,458	—	(462,058)
TOTAL OTHER COMPREHENSIVE INCOME (LOSS), NET OF TAX		—	101,136	—	(459,904)
TOTAL COMPREHENSIVE LOSS, NET OF TAX		(3,031,992)	(2,770,997)	(628,022)	(905,487)
Non-controlling interest comprehensive loss		31	19	12	5
CONTROLLING INTEREST IN CONSOLIDATED COMPREHENSIVE LOSS		(3,031,961)	(2,770,978)	(628,010)	(905,482)
Basic / Diluted Loss Per Share	5	(P0.22)	(P0.21)	(P0.05)	(P0.07)

The accompanying notes are part of these condensed consolidated interim financial statements

CEMEX HOLDINGS PHILIPPINES, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED INTERIM STATEMENTS OF CASH FLOWS

(Amounts in Thousands)

(Unaudited)

**For the Nine Months Ended
September 30**

<i>Note</i>	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss	(P3,031,993)	(P2,872,133)
Adjustments for:		
Depreciation and amortization of property, machinery and equipment and assets for the right-of-use	1,288,090	1,425,103
Financial expenses, other financial expenses (income) and unrealized foreign exchange result	1,223,366	799,131
Income tax expense	19,157	348,569
Retirement benefits expense	56,241	51,475
Share-based compensation expense	—	52,649
Impairment loss (reversal of impairment loss) on trade receivables, inventory write-down and provisions during the period	503,740	6,694
Loss (Gain) on disposal of property, machinery and equipment	(12,733)	7,389
Gain on remeasurement of lease liability and derecognition of asset for the right-of-use from lease termination and sublease	(9,790)	(9,985)
Operating profit (loss) before working capital changes	36,078	(191,108)
Changes in working capital:		
Decrease (increase) in:		
Trade receivables	(98,521)	(181,966)
Due from related parties	(35,564)	(153,917)
Insurance premiums receivable	—	395,755
Other current accounts receivable	152,266	19,796
Inventories	272,462	833,178
Derivative asset	—	5,632
Prepayments and other current assets	(436,588)	(912,183)
Increase (decrease) in:		
Trade payables	614,276	327,764
Due to related parties	20,161	(1,781,721)
Unearned income, other accounts payable and accrued expenses	(116,470)	608,736
Contract liabilities	49,914	(22,633)
Cash absorbed by operations	458,015	(1,052,667)
Interest received	15,884	26,324
Pension plan withdrawal (contribution)	10,085	—
Interest paid	(1,231,218)	(546,557)
Income taxes paid	—	(136,821)
Benefits paid to employees	(76,745)	(50,600)
Net cash used in operating activities	(823,980)	(1,760,321)

Forward

	For the Nine Months Ended September 30		
	Note	2025	2024
CASH FLOWS FROM INVESTING ACTIVITIES			
Proceeds from sale of property, machinery and equipment		P47,611	P27,976
Additions to property, machinery and equipment and assets for the right of use		(1,486,801)	(2,400,614)
Acquisition of trademarks		—	(736,432)
Decrease (Increase) in other assets and noncurrent accounts receivable		1,747,523	(789,244)
Net cash used in investing activities		308,333	(3,898,314)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from:			
Bank loan		2,122,500	8,050,000
Related parties		—	4,836,691
Payments of:			
Bank loan		(3,333,203)	(7,505,000)
Lease liabilities - net of interest		(200,139)	(310,734)
Increase in other noncurrent liabilities		1,607,508	—
Net cash (used in) provided by financing activities		196,665	5,070,957
NET DECREASE IN CASH AND CASH EQUIVALENTS			
		(318,980)	(587,678)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS			
		62	(15,282)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD			
		1,935,047	1,721,492
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD			
		P1,616,129	P1,118,532

The accompanying notes are part of these condensed consolidated interim financial statements

CEMEX HOLDINGS PHILIPPINES, INC. AND SUBSIDIARIES

CONDENSED CONSOLIDATED INTERIM STATEMENTS OF CHANGES IN EQUITY

(Amounts in Thousands)

(Unaudited)

		For the Nine Months Ended September 30, 2025						
		Common Stock	Additional Paid-in Capital	Other Equity Reserves	Retained Earnings	Total Controlling Interest	Non-controlling Interest	Total Equity
As at January 1, 2025	P	13,489,227	26,217,799	228,342	(22,305,224)	17,630,144	54	17,630,198
Transactions with the owners of the Company								
Share-based compensation		—	—	—	—	—	—	—
Total comprehensive income:								
Profit for the period		—	—	—	(3,031,962)	(3,031,962)	(31)	(3,031,993)
Other comprehensive income for the period		—	—	—	—	—	—	—
As at September 30, 2025	P	13,489,227	26,217,799	228,342	(25,337,186)	14,598,182	23	14,598,205

		For the Nine Months Ended September 30, 2024						
		Common Stock	Additional Paid-in Capital	Other Equity Reserves	Retained Earnings	Total Controlling Interest	Non-controlling Interest	Total Equity
As at January 1, 2024	P	13,489,227	26,217,799	1,355,714	932,460	41,995,200	72	41,995,272
Transactions with the owners of the Company								
Share-based compensation		—	—	52,649	—	52,649	—	52,649
Total comprehensive income:								
Profit for the period		—	—	—	(2,872,114)	(2,872,114)	(19)	(2,872,133)
Other comprehensive income for the period		—	—	101,136	—	101,136	—	101,136
As at September 30, 2024	P	13,489,227	26,217,799	1,509,499	(1,939,654)	39,276,871	53	39,276,924

The accompanying notes are part of these condensed consolidated interim financial statements.

CEMEX HOLDINGS PHILIPPINES, INC. AND SUBSIDIARIES

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

(Amounts in Thousands, Except per Share Data, Number of Shares and When Otherwise Stated)

NOTE 1 - DESCRIPTION OF BUSINESS

CONCREAT HOLDINGS PHILIPPINES, INC. (the "Parent Company"), formerly, Cemex Holdings Philippines, Inc., a subsidiary of Concreat Asian South East Corporation ("CASEC"), was incorporated as a stock corporation on September 17, 2015 under Philippine laws, primarily to invest in or purchase real or personal property; and to acquire and own, hold, use, sell, assign, transfer, mortgage all kinds of properties, such as shares of stock, bonds, debentures, notes, or other securities and obligations; provided that the Parent Company shall not engage either in the stock brokerage business or in the dealership of securities, and in the business of an open-end investment company as defined in Republic Act 2629, Investment Company Act.

CASEC was incorporated as a stock corporation on August 25, 2015 under Philippine laws.

On April 25, 2024, Cemex Asia B.V., the then parent company of CASEC, entered into a share purchase agreement with DMCI Holdings, Inc. ("DMC"), Semirara Mining and Power Corporation ("SMPC") and Dacon Corporation ("Dacon", with DMC and SMPC, the "Purchasers") for the sale of Cemex Asia B.V.'s 42,140,266 common shares in CASEC, representing 100% of the outstanding share capital of CASEC. On December 2, 2024, Cemex Asia B.V. and the Purchasers completed the sale transaction, as a result of which DMC acquired 23,915,631 shares representing 56.75% of CASEC (and indirectly, 51% of the Parent Company), SMPC acquired 4,689,339 shares representing 11.13% of CASEC (and indirectly, 10% of the Parent Company), while Dacon acquired 13,535,296 shares representing 32.12% of CASEC (and indirectly, 28.9% of the Parent Company). Pursuant to this sale transaction, the Purchasers, through CASEC, collectively control (indirectly) 89.86% of the Parent Company¹ and, accordingly, the Parent Company is no longer deemed an indirect subsidiary of Cemex S.A.B. de C.V..

The term "Parent Company" used in these accompanying notes to the consolidated financial statements refers to CONCREAT HOLDINGS PHILIPPINES, INC. without its subsidiaries. The term "Company" refers to CONCREAT HOLDINGS PHILIPPINES, INC., together with its consolidated subsidiaries.

As of September 30, 2025, CASEC owns and controls 12,121,954,662 common shares of the Parent Company (inclusive of 5 shares held by individuals), which is approximately 89.86% of the issued and outstanding common shares of the Parent Company.

Based on the lists of stockholders registered with the stock transfer agent of the Parent Company, the Parent Company had 43 stockholders as at September 30, 2025 and December 31, 2024, respectively, with each of PCD Nominee Corporation (Filipino) and PCD Nominee Corporation (Non-Filipino) recorded as a stockholder.

The Parent Company's principal office is at 34th Floor BDO Life Megaplaza (formerly, Petron Mega Plaza), 358 Sen. Gil J. Puyat Avenue, Makati City, Philippines.

NOTE 2 - BASIS OF PREPARATION

A) STATEMENT OF COMPLIANCE

The condensed consolidated interim financial statements have been prepared in accordance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. The condensed consolidated interim financial statements do not include all of the information required for a complete set of financial statements and should be read in conjunction with the Group's annual consolidated financial statements as at and for the year ended December 31, 2024.

B) BASIS OF MEASUREMENT

The condensed consolidated interim financial statements have been prepared on the historical cost basis of accounting, except for retirement benefits liability which is measured at the present value of the defined benefit obligation less the fair value of plan assets and derivative financial asset and other investments, under "Investment in an associate and other investments", that are measured at fair value.

¹ As a result of the foregoing sale transaction, the Purchasers collectively beneficially own and control CASEC. Upon the issuance of the *BIR Certificate Authorizing Registration* for the foregoing sale transaction, the Purchasers will become the registered shareholders of CASEC.

C) PRINCIPLES OF CONSOLIDATION

The condensed consolidated interim financial statements, includes those of the Parent Company and those of the subsidiaries in which the Parent Company exercises control by means of which the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. In assessing control, potential voting rights that are presently exercisable or convertible are taken into account. Among other factors, control is evidenced when the Parent Company: a) holds directly or through subsidiaries, more than 50% of an entity's common stock; or b) has the power, directly or indirectly, to govern the administrative, financial and operating policies of an entity.

When the Company has less than a majority of the voting or similar rights of an investee, the Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Company's voting rights and potential voting rights.

The financial statements of the subsidiaries are included in the consolidated financial statements from the date when the Company obtains control and continue to be consolidated until the date that such control ceases.

The condensed consolidated interim financial statements of the Company are prepared for the same reporting period as the Parent Company, using uniform accounting policies for like transactions and other events in similar circumstances. Non-controlling interest is the equity in a subsidiary not attributable, directly or indirectly, to a parent. It is measured at its proportionate share of the acquiree's identifiable net assets at the acquisition date. Changes in the Parent Company's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to the Company.

If the Company loses control over a subsidiary, it:

- derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- derecognizes the carrying amount of any non-controlling interest;
- derecognizes the related other comprehensive income (OCI) recorded in equity and recycles the same to profit or loss or retained earnings;
- recognizes the fair value of the consideration received;
- recognizes the fair value of any investment retained; and
- recognizes any surplus or deficit in profit or loss.

The Company has P23 and P54 non-controlling interest as at September 30, 2025 and December 31, 2024, respectively.

All intragroup transactions, balances and income and expenses are eliminated in consolidation. Each subsidiary is a legally responsible separate entity and maintains custody of its own financial resources.

D) DEFINITION OF TERMS

When reference is made to "P", it means Philippine Peso. Unless otherwise indicated, the Philippine Peso amounts in the condensed consolidated interim financial statements and the accompanying notes are stated in thousands. When reference is made to "US\$" or dollar and "€" or euro, it means thousands of dollars of the United States of America (the "United States" or "U.S.") and euros of the European Union, respectively.

E) FUNCTIONAL AND PRESENTATION CURRENCY

These condensed consolidated interim financial statements of the Company are presented in Philippine Peso, the functional currency of the Parent Company and each of its subsidiaries. All values are rounded to the nearest thousands, except when otherwise stated.

F) USE OF JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the condensed consolidated interim financial statements requires management to make judgments, estimates and use assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. These estimates and underlying assumptions are reviewed on an ongoing basis using available information. Actual results may differ from these estimates.

Judgments

In the process of applying the Company's accounting policies, management has made the following judgments, apart from those involving estimations, that have the most significant effect on the amounts recognized in the condensed consolidated interim financial statements:

Judgment on the term to be considered in computing for lease liabilities

The Company determines the term of lease or right-of-use as the non-cancellable term of the arrangement, together with any periods covered by an option to extend the lease or right-of-use if it is reasonably certain to be exercised. The Company has contracts that include extension option to lease or right to use parcels of land. The Company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew the lease or right-of-use arrangement. That is, it considers all relevant factors that create an economic incentive for it to exercise the renewal. The Company included the complete renewal period as part of the term for such leases or right-of-use arrangements of parcels of land as this is reasonably certain to be exercised considering the costs and business disruption required to replace the leased asset or right-of-use asset. After the commencement date, the Company reassesses the term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew.

Assessing Whether the Insurance Contract with the Third Party Insurer and Reinsurance Contract of Falcon are Linked Transactions

In 2024, the Company, through Solid and APO, insured certain risks with a third party insurer in which Falcon takes some of the risks back into the Company. It was assessed that the insurance transactions between the third party insurer and Solid and APO are interdependent with the reinsurance transaction to Falcon. Since Falcon did not have the regulatory approval required to issue direct insurance contract to Philippine entities, the third party insurer acted as a conduit for Falcon, the captive insurer. This made the transactions, in substance, form a single arrangement that achieved an overall commercial effect of self-insurance. In addition, the reinsurance contract by Falcon were entered in contemplation of the insurance contracts entered by Solid and APO with the third party insurer. Thus, the insurance expense of Solid and APO and revenue from insurance contracts of Falcon were offset during consolidation in 2024.

Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty as at reporting date that have the most significant risk of resulting in a material adjustment to the carrying amounts of assets, liabilities and equity within the next financial year are as follows:

Expected credit losses of trade receivables

The loss allowances for trade receivables are based on assumptions about risk of default and expected credit loss (ECL) rates. The Company uses judgment in making these assumptions and selecting the inputs to the impairment calculation, based on the Company's past history, existing market conditions as well as forward-looking estimates at the end of each reporting period. The amount of ECL is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. Details of key assumptions and inputs and other information about the Company's ECL are disclosed in Note 14. As at September 30, 2025 and December 31, 2024, allowance for impairment losses on receivables amounted to P69,594 and P19,590, respectively (see Note 14).

NOTE 3 – MATERIAL ACCOUNTING POLICIES

A) CHANGES IN ACCOUNTING POLICIES

The accounting policies adopted in the preparation of the condensed consolidated interim financial statements are consistent with those followed in the preparation of the audited annual consolidated financial statements as of and for the year ended December 31, 2024. Except as otherwise indicated, the adoption of these amendments to standards did not have any significant impact on the Company's consolidated financial statements.

1. Adoption of Amendments to Standards and Interpretations

The Company has adopted the following amendments to standards starting January 1, 2024 and accordingly, changed its accounting policies. Except as otherwise indicated, the adoption did not have any significant impact on the Company's consolidated financial statements.

1.1 Lease Liability in a Sale and Leaseback (Amendments to PFRS 16 Leases). The amendments confirm the following:

- On initial recognition, the seller-lessee includes variable lease payments when it measures a lease liability arising from a sale-and-leaseback transaction.
- After initial recognition, the seller-lessee applies the general requirements for subsequent accounting of the lease liability such that it recognizes no gain or loss relating to the right of use it retains.

A seller-lessee may adopt different approaches that satisfy the new requirements on subsequent measurement. For example, the seller-lessee could determine the lease payments to be deducted from the lease liability as expected lease payments or as equal periodic payments over the lease term, with the difference between those payments and amounts actually paid recognized in profit or loss.

The amendments are applied retrospectively in accordance with PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* to sale-and-leaseback transactions entered into after the date of initial application of PFRS 16.

1.2 Classification of Liabilities as Current or Noncurrent – 2020 amendments and Non-Current Liabilities with Covenants – 2022 amendments (Amendments to PAS 1, Presentation of Financial Statements). To promote consistency in application and clarify the requirements on determining whether a liability is current or noncurrent, the amendments:

- removed the requirement for a right to defer settlement of a liability for at least twelve months after the reporting period to be unconditional and instead requires that the right must have substance and exist at the end of the reporting period;
- clarified that only covenants with which a company must comply on or before the reporting date affect the classification of a liability as current or non-current and covenants with which the entity must comply after the reporting date do not affect a liability's classification at that date;
- provided additional disclosure requirements for non-current liabilities subject to conditions within twelve months after the reporting period to enable the assessment of the risk that the liability could become repayable within twelve months; and
- clarified that settlement of a liability includes transferring an entity's own equity instruments to the counterparty, but conversion options that are classified as equity do not affect classification of the liability as current or noncurrent.

1.3 Supplier Finance Arrangements (Amendments to PAS 7, Statement of Cash Flows and PFRS 7, Financial Instruments: Disclosures). The amendments introduce new disclosures about a company's supplier finance arrangements that would enable users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows, and the company's exposure to liquidity risk. Under the amendments, a company discloses in aggregate for its supplier finance arrangements:

- the terms and conditions of the arrangements;
- beginning and ending carrying amounts and associated line items of the financial liabilities that are part of a supplier finance arrangement, distinguishing those for which suppliers were already paid, and range of payment due dates including those for comparable trade payables not part of a supplier finance arrangement; and
- the type and effect of non-cash changes in the carrying amounts.

The amendments also add supplier finance arrangements as an example to the existing disclosure requirements on factors a company might consider when providing specific quantitative liquidity risk disclosures about its financial liabilities.

A company is not required to disclose comparative information for any prior reporting periods, information on carrying amounts for which suppliers already received payment and range of payment due dates as at the beginning of the annual reporting period the company first applies the amendments, and information for any interim period within the annual reporting period in which the company first applies those amendments.

2. Standards Issued But Not Yet Adopted

A number of new standards and amendments to standards are effective for annual periods beginning after January 1, 2024. However, the Company has not early adopted the following amended standards in preparing these consolidated financial statements. Unless otherwise stated, none of these are expected to have a significant impact on the Company's consolidated financial statements.

Effective January 1, 2026

2.1 Amendments to the Classification and Measurement of Financial Instruments (Amendments to PFRS 9, Financial Instruments and PFRS 7, Financial Instruments: Disclosures). The amendments relate to the date of recognition and derecognition, classification of financial assets, contractually linked instruments and non-recourse features, and disclosures on investments in equity instruments. The amendments that are of most relevance to the Company follow:

Date of recognition and derecognition. The amendments clarified that:

- a financial asset or financial liability is recognized on the date on which the entity becomes party to the contractual provisions of the instrument unless the regular way exemption applies;
- a financial asset is derecognized on the date on which the contractual rights to cash flows expire or the asset is transferred; and
- a financial liability is derecognized on the settlement date, which is the date on which the liability is extinguished because the obligation specified in the contract is discharged or cancelled or expires or the liability otherwise qualifies for derecognition.

However, the amendments provide an exception for the derecognition of financial liabilities where an entity may choose to derecognize a financial liability that is settled using an electronic payment system before the settlement date if, and only if, the entity has initiated the payment instruction that resulted in:

- the entity having no practical ability to withdraw, stop or cancel the payment instruction;
- the entity having no practical ability to access the cash to be used for settlement as a result of the payment instruction; and
- the settlement risk associated with the electronic payment system is insignificant.

Entities may choose to apply the exception on a system-by-system basis.

The amendments apply for reporting periods beginning on or after January 1, 2026. Earlier application is permitted. Entities may choose to early-adopt the amendments for the recognition and derecognition of financial assets and financial liabilities separately from the other amendments.

2.2 Annual Improvements to PFRS Accounting Standards – Volume 11. This cycle of improvements contains amendments to five standards. The following are the improvements that are of most relevance to the Company:

- **Gain or Loss on Derecognition (Amendments to PFRS 7, Financial Instruments: Disclosure).** The amendments replaced the reference to 'inputs that were not based on observable market data' in the obsolete paragraph 27A of PFRS 7, with reference to 'unobservable inputs' in paragraphs 72-73 of PFRS 13 Fair Value Measurement.
- **Derecognition of Lease Liabilities and Transaction Price (Amendments to PFRS 9 Financial Instruments).** The amendments:
 - added a cross-reference to clarify that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee applies the requirement that the difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognized in profit or loss; and
 - replaced the term 'their transaction price (as defined in IFRS 15)' with 'the amount determined by applying IFRS 15' because a receivable might be initially measured at an amount that differs from the transaction price recognized as revenue, for example, when you recognize full amount for consideration that's unconditionally receivable but at the same time recognize expected refund liability with respect to retrospective rebates. Consequently, the definition of the transaction price has been deleted.
- **Cost Method (Amendments to PAS 7, Statement of Cash Flows).** The amendments replaced the term 'cost method' with 'at cost' given the definition of 'cost method' has previously been removed from PFRS Accounting Standards.

The amendments apply for annual reporting periods beginning on or after January 1, 2026. Earlier application is permitted. The amendment on derecognition of lease liabilities applies only to lease liabilities extinguished on or after the beginning of the annual reporting period in which the amendment is first applied.

Effective January 1, 2027

2.3 PFRS 18, Presentation and Disclosure in Financial Statements will replace PAS 1, *Presentation of Financial Statements* and aims to provide greater consistency in presentation of the income and cash flow statements, and more disaggregated information.

- **A more structured income statement.** PFRS 18 promotes a more structured income statement. It introduces a newly defined 'operating profit or loss' and 'profit or loss before financing and income tax' subtotals, and a requirement for all income and expenses to be classified into three new distinct categories – operating, investing, and financing – based on a company's main business activities. PFRS 18 also requires companies to analyze their operating expenses directly on the face of the income statement – either by nature, by function or on a mixed basis. Companies need to choose the presentation method that provides the 'most useful structured summary' of those expenses. New disclosures apply if any operating expenses are presented by function.
- **Management-defined performance measures.** PFRS 18 provides a definition for management-defined performance measures (MPMs) and introduces specific disclosure requirements. MPMs are subtotals of income and expenses that are used in public communications outside the financial statements, communicate management's view of an aspect of the financial performance of the entity as a whole and are not a required subtotal or a common income and expense subtotal listed in PFRS 18. For each MPM presented, companies will need to explain in a single note to the financial statements why the measure provides useful information and how it is calculated, and to reconcile it to an amount determined under PFRS Accounting Standards.
- **Greater disaggregation of information.** PFRS 18 provides enhanced guidance on how companies group information in the financial statements, including newly defined roles of the primary financial statements and the notes, principles of aggregation and disaggregation based on shared and non-shared characteristics, and specific guidance for labelling and describing items in a way that faithfully represents an item's characteristics.

PFRS 18 also now require goodwill to be presented as a line item in the statement of financial position.

Consequential amendments to PAS 7 Statement of Cash Flows requires the use of the operating profit or loss subtotal as the starting point when presenting operating cash flows under the indirect method and eliminate the options for classifying interest and dividend cash flows.

PFRS 18 also amends PAS 33 Earnings per Share to permit companies to disclose additional amounts per share using as numerator a required income and expenses total or subtotal, a common subtotal listed in PFRS 18 or an MPM disclosed by the entity.

PFRS 18 applies for annual reporting periods beginning on or after January 1, 2027, with earlier application permitted. It applies retrospectively in accordance with PAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. Specific reconciliations are required to be disclosed. Eligible entities including venture capital organizations, mutual funds and some insurers will be allowed to change their election for measuring investments in associates and joint ventures from equity method to fair value through profit or loss.

NOTE 4 - REVENUES

Disaggregation of Revenues from Contracts with Customers

Revenues for the nine months ended September 30, 2025 and 2024 are detailed by major product lines and timing of revenue recognition as follows:

	Timing of revenue recognition		September 30, 2025	September 30, 2024
<i>Revenue from sale of goods</i>				
Cement.....	At a point in time	P	11,340,692	12,123,097
Admixtures and others.....	At a point in time		3,842	11,044
			<u>11,344,534</u>	<u>12,134,141</u>
<i>Revenue from services</i>				
Co-processing of alternative fuel resources.....	Over time		–	72,316
		P	<u>11,344,534</u>	<u>12,206,457</u>

The Company does not depend on any single or few customers, and no single customer represented more than 10% of the Company's consolidated Revenue.

Contract Balances

The following table provides information about the opening and closing balances of trade receivables - net and contract liabilities from contracts with customers:

		September 30, 2025	December 31, 2024
Trade receivables - net.....	P	909,483	828,513
Contract liabilities			
Advances from customers	P	242,288	194,683
Customer loyalty program.....		5,173	2,864
	P	247,461	197,547

The contract liabilities include unredeemed customer loyalty points and advances from customers. These will be recognized as revenue when the points are redeemed by customers or when the goods are delivered to the customer and when the right to redeem expires, which is expected to occur the following year. Contract liabilities as at September 30, 2025 are expected to be recognized as revenue within 12 months. The amount recognized in contract liabilities as at December 31, 2024 is expected to be recognized as revenue within 12 months from the reporting date. There is no other unperformed obligation other than those already included in contract liabilities.

Seasonality of Operations

The Company's sales are subject to seasonality. Sales are generally higher in the hot, dry months from March through May and lower during the wetter monsoon months of June through November. While these factors lead to a natural seasonality on the Company's sales, unseasonable and/or intense weather could also significantly affect sales and profitability compared to previous comparable periods. Low sales are likewise experienced around the Christmas and New Year holiday period in December through early January, and may be affected by periods with multiple holidays, which may affect construction activity. Consequently, the Company's operating results may fluctuate. In addition, the Company's results may be affected by unforeseen circumstances, such as production interruptions. Due to these fluctuations, comparisons of sales and operating results between periods within a single year, or between different periods in different financial years, are not necessarily meaningful and should not be relied on as indicators of the Company's performance.

NOTE 5 – BASIC/ DILUTED EARNINGS PER SHARE

For the nine months ended September 30, 2025 and 2024, basic and diluted earnings per share is computed as follows:

		September 30, 2025	September 30, 2024
Profit (Loss)	P	(3,031,992)	(2,872,133)
Add: non-controlling interest in net loss		31	19
Controlling interest in profit (a)	P	(3,031,961)	(2,872,114)
Weighted average number of shares outstanding - Basic/Diluted (b)		13,489,226,623	13,489,226,623
Basic/Diluted EPS (a/b)	P	(0.22)	(0.21)

As at September 30, 2025 and 2024, the Company has no dilutive equity instruments.

NOTE 6 – CASH AND CASH EQUIVALENTS

The cash and cash equivalents as at September 30, 2025 and December 31, 2024 amount to P1,616,129 and P1,935,047, respectively.

Cash in banks earns interest at the prevailing bank deposit rates.

For the nine months ended September 30, 2025 and 2024, interest income earned on cash and cash equivalents amounted to P15,884 and P26,324, respectively.

The Company's exposures to credit risk, foreign currency risk, and interest rate risk related to cash and cash equivalents are disclosed in Note 14 to the condensed consolidated interim financial statements.

² As at September 30, 2025 and December 31, 2024, trade receivables – net includes trade receivables from related parties amounting to P123,163 and P90,710, respectively (Note 10)

NOTE 7 – PROPERTY, MACHINERY, EQUIPMENT AND ASSETS FOR THE RIGHT-OF-USE - NET

The consolidated balance of this item is broken down as follows:

		September 30, 2025	December 31, 2024
Property, machinery and equipment - net.....	P	27,271,099	27,786,437
Assets for the right-of-use - net.....		1,943,295	2,203,787
	P	29,214,394	29,990,224

Property, Machinery and Equipment – net

The movements for each class of property, machinery and equipment are as follows:

		Buildings and improvements	Machinery and equipment	Construction in-progress	Total
Gross Carrying Amount					
January 1, 2024	P	4,937,271	16,210,669	14,381,973	35,529,913
Additions.....		21,423	77,631	3,826,157	3,925,211
Disposals.....		(49,112)	(102,874)	(32,153)	(184,139)
Transfers.....		26,216	412,500	(438,716)	–
December 31, 2024		4,935,798	16,597,926	17,737,261	39,270,985
Additions.....		516,266	505,177	236,995	1,258,438
Transfers.....		320,805	17,653,452	(17,974,258)	–
Disposals.....		(164,364)	(265,616)	–	(429,980)
September 30, 2025		5,608,505	34,490,939	–	40,099,445
Accumulated depreciation and impairment					
January 1, 2024		(1,810,371)	(8,426,257)	–	(10,236,628)
Depreciation for the year		(233,319)	(1,107,955)	–	(1,341,274)
Disposals.....		22,684	70,670	–	93,354
December 31, 2024		(2,021,006)	(9,463,542)	–	(11,484,548)
Depreciation and impairment loss for the period		(135,269)	(1,540,602)	–	(1,675,871)
Disposals.....		150,666	181,409	–	332,075
September 30, 2025		(2,005,609)	(10,822,736)	–	(12,828,345)
Carrying Amounts					
December 31, 2024	P	2,914,792	7,134,384	17,737,261	27,786,437
September 30, 2025	P	3,602,896	23,668,203	–	27,271,099

In relation to the Solid New Line Project, the Company capitalized borrowing cost amounting to nil and P446,383 for the nine months ended September 30, 2025 and 2024, respectively. The average capitalization rate used to determine the amount of borrowing cost eligible for capitalization during the nine months ended September 30, 2025 and 2024 is nil and 2.1%, respectively.

Assets for the Right-of-Use - net

The movements in the balance of assets for the right-of-use are as follows:

		Land and Buildings	Machinery and Equipment	Total
Gross Carrying Amount				
January 1, 2024.....	P	3,340,404	1,570,070	4,910,474
Additions		133,937	388,745	522,682
Cancellation and remeasurements		(49,107)	–	(49,107)
December 31, 2024		3,425,234	1,958,815	5,384,049
Additions		63,668	–	63,668
Cancellation and remeasurements		(476,193)	(639,567)	(1,115,760)
September 30, 2025		3,012,709	1,319,248	4,331,957
Accumulated amortization				
January 1, 2024.....		(1,202,429)	(1,486,370)	(2,688,799)
Depreciation for the year		(259,698)	(251,222)	(510,920)
Cancellation and remeasurements		19,457	–	19,457
December 31, 2024		(1,442,670)	(1,737,592)	(3,180,262)
Amortization for the period.....		(144,776)	(140,858)	(285,634)
Cancellation and remeasurements		437,667	639,567	1,077,234
September 30, 2025				
Carrying Amounts				
December 31, 2024	P	1,982,564	221,223	2,203,787
September 30, 2025	P	1,862,930	80,365	1,943,295

NOTE 8 – GOODWILL AND TRADEMARKS

The movement in the gross carrying amount and accumulated impairment losses of the Company's Goodwill and Trademarks as at September 30, 2025 and December 31, 2024, follow:

		Goodwill	Trademarks	Total
Gross Carrying Amount				
January 1, 2024.....	P	27,859,694	–	27,859,694
Acquisitions		–	736,432	736,432
December 31, 2024		27,859,694	736,432	28,596,126
Acquisitions		–	–	–
September 30, 2025		27,859,694	736,432	28,596,126
Accumulated impairment				
January 1, 2024.....		–	–	–
Impairment loss recognized in profit and loss		(19,597,819)	–	(19,597,819)
December 31, 2024		(19,597,819)	–	(19,597,819)
Impairment loss recognized in profit and loss		–	–	–
September 30, 2025		(19,597,819)	–	(19,597,819)
Carrying Amounts				
December 31, 2024	P	8,261,875	736,432	8,998,307
September 30, 2025	P	8,261,875	736,432	8,998,307

Impairment losses were recognized as a result of changes in market conditions. This was recognized after Cemex' divestment of the Company and aligns with latest valuation of the Company's net assets that is consistent with the purchase price of DMC.

NOTE 9 – LEASE LIABILITIES

The rollforward analysis of opening and closing balance of lease liabilities are as follows:

		September 30, 2025	December 31, 2024
Balance at beginning of the period	P	2,540,402	2,524,710
Additions.....		63,577	518,639
Accretion of interest.....		136,467	190,667
Effect of changes in exchange rates.....		(1,171)	14,692
Payments.....		(336,606)	(680,945)
Remeasurement due to lease termination		(48,316)	(27,361)
Balance at end of the period.....	P	2,354,353	2,540,402

Pursuant to PFRS 16, the determination of whether an arrangement is, or contains a lease is, if the contract conveys a right to control the use of an identified asset (whether or not exclusive) for a period of time in exchange for consideration. Such assessment is made at the inception of the contract.

NOTE 10 – EQUITY

Common Stock

As at September 30, 2025 and December 31, 2024 the account consists of:

	Number of Shares	Amount
Authorized - P1.00 par value per share	18,310,395,454	P18,310,395
Paid, Issued and Outstanding shares	13,489,226,623	P13,489,227
Total Common Stock	13,489,226,623	P13,489,227

On September 17, 2015, CASEC subscribed to 376,000 shares of stock of the Parent Company at P100 par value per share. Of the agreed subscription price of P37,600, only P9,400 was paid in 2015, while the remainder of P28,200 was paid in 2016. In 2016, the Parent Company's Board of Directors ("BOD") approved the amendment of articles of incorporation and increase in the authorized capital stock of the Parent Company from P150,400, divided into 1,504,000 common shares with par value of P100 per share, to P5,195,395, divided into 5,195,395,454 common shares with par value of P1 per share.

On May 20, 2016, the SEC approved the Parent Company's application for the amendment of articles of incorporation and increase in its authorized capital stock. Accordingly, the original subscription of CASEC changed from 376,000 common shares, with par value of P100 per share, to 37,600,000 common shares, with par value of P1 per share. Furthermore, in connection with the increase in authorized capital stock, CASEC subscribed to an additional 2,819,867,500 shares at P1 par value per share or a total par value of P2,819,867 which was fully paid. During the IPO which culminated in the listing of all of the outstanding shares of stock of the Parent Company on July 18, 2016, the Parent Company issued additional 2,337,927,954 shares at P1 par value per share or a total par value of P2,337,928 at the offer price of P10.75 per share (see Note 1).

The BOD and stockholders of the Parent Company approved on April 2, 2019 and October 16, 2019, respectively, the amendment of the Seventh Article of the Amended Articles of Incorporation of the Company, to reflect an increase in the Parent Company's ACS from P5,195,395, consisting of 5,195,395,454 common shares with a par value of P1 per share, to P18,310,395, consisting of 18,310,395,454 common shares with a par value of P1 per share.

In connection with the ACS increase, the Company's BOD on September 3, 2019 approved the conduct of SRO. The shares subject of the SRO came from an increase in Parent Company's ACS. On December 11, 2019, the SEC issued a Notice of Confirmation of Exempt Transaction, confirming that the SRO is exempt from the registration requirements of the Securities Regulation Code of the Philippines, and the board of directors of the PSE approved the Parent Company's application for listing of the shares offered in the SRO, subject to the fulfillment of certain listing conditions, such as but not limited to the Parent Company having obtained the SEC's approval of the increase in the company's authorized capital stock. As at December 31, 2019, the shareholdings in the Parent Company owned by CASEC increased to 3,469,412,498 common shares at P1 par value per share or P3,469,412.

On January 6, 2020, the Parent Company defined the final terms of the SRO which involved 8,293,831,169 common shares which was sourced from the increase in the Parent Company's ACS, offered at an offer price of P1.54 per share during an offer period from January 20 to 24, 2020. The SRO offer period was concluded resulting in the full subscription of 8,293,831,169 common shares.

On February 27, 2020, the SEC approved the Parent Company's application for amendment of articles of incorporation and increase in ACS and on March 4, 2020, 8,293,831,169 common shares, comprising the Rights Shares, were listed under the Main Board of the Exchange. After the SRO and the approval by the SEC of the Parent Company's application for increase in ACS, the Parent Company's issued and outstanding shares totaled 13,489,226,623 common shares at P1 par value per share or a total par value of P13,489,227.

As of December 31, 2020, the shareholdings in the Parent Company owned by CASEC was 10,500,624,662 common shares at P1 par value per share, which correspond to approximately 77.84% of the total issued and outstanding capital stock of the Parent Company. CASEC increased its shareholdings in the Parent Company to 10,507,954,662 common shares at P1 par value per share as at December 31, 2022.

In 2020, the total proceeds from the issuance of common stock amounted to P12,772,500 which resulted in the increase in common stock and additional paid-in capital (APIC) by P8,293,832 and P4,478,668, respectively. Total cost related to the SRO amounted to P224,320, of which P220,028 direct share issuance cost was charged as reduction against APIC, while the remaining portion of the total cost amounting to P4,292 was recognized in profit or loss. As of December 31, 2020, the shareholdings in the Parent Company owned by CASEC was 10,500,624,662 common shares at P1 par value per share.

In September 2022, CASEC increased its shareholdings in the Parent Company to 10,507,954,662 common shares at P1 par value per share.

In March 2023, in connection with the voluntary tender offer exercise launched by CASEC, CASEC acquired 1,614,000,000 common shares of the Parent Company at the Tender Offer Price of P1.30 with a total transaction price of P2,098,200. The cross sales were executed last 29 March 2023. As a result of the tender offer, CASEC owns and controls 12,121,954,662 common shares of the Parent Company (inclusive of 5 shares held by individuals), which is approximately 89.86% of the issued and outstanding common shares of the Parent Company.

As of September 30, 2025, CASEC owns and controls 12,121,954,662 common shares of CHP (inclusive of the 5 shares held by individuals), which is approximately 89.86% of the issued and outstanding common shares of CHP.

Other Equity Reserves

The movements on components of Other equity reserves as at September 30, 2025 and December 31, 2024 are as follows:

		Cumulative translation of foreign subsidiaries	Remeasurements on retirement benefits liability	Share-based compensation reserve	Hedge reserve	Total
Balance at January 1, 2024	P	1,003,811	228,116	118,786	5,001	1,355,714
Currency translation gain of foreign subsidiaries		580,079	—	—	—	580,079
Reclassification adjustment on disposal of foreign subsidiaries		(1,583,890)	—	—	—	(1,583,890)
Gain on remeasurement on retirement benefits liability, net of tax		—	226	—	—	226
Share-based compensation		—	—	71,965	—	71,965
Share-based compensation reclassified to Retained earnings		—	—	(190,751)	—	(190,751)
Cash flow hedges - effective portion of changes in fair value		—	—	—	(712)	(712)
Cash flow hedges - reclassified to profit or loss		—	—	—	(4,289)	(4,289)
Balance at December 31, 2024	P	—	228,342	—	—	228,342
Currency translation gain of foreign subsidiaries		—	—	—	—	—
Loss on remeasurement on retirement benefit liability, net of tax		—	—	—	—	—
Cash flow hedges - effective portion of changes in fair value		—	—	—	—	—
Balance as at September 30, 2025	P	—	228,342	—	—	228,342

Capital Management

The Company's objective when managing capital is to increase the value of shareholders' investment by applying free cash flow to selective investments. The Company sets strategies with the objective of establishing a versatile and resourceful financial management and capital structure.

The Board of Directors has overall responsibility for the monitoring of capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the Company's external environment and the risks underlying the Company's business operations and industry. The Company's capital is defined as "Equity" as shown in the condensed consolidated interim statements of financial position.

The Company is not subject to externally imposed capital requirements. The Company's net debt to equity ratio at the reporting dates is as follows:

		September 30, 2025	December 31, 2024
Total Debt*	P	22,478,813	23,533,008
Less: cash and cash equivalents		1,616,129	1,935,047
Net debt (a)	P	20,717,155	21,597,961
Total equity (b)	P	14,598,205	17,630,198
Net debt to equity ratio (a/b)		1.43:1	1.23:1

*Includes all interest-bearing bank loans

NOTE 11 – RELATED PARTY TRANSACTIONS

Related party relationship exists when the other party (i) has control or joint control of the reporting entity; (ii) has significant influence over the reporting entity; or (iii) is a member of the key management personnel of the reporting entity or of a parent of the reporting entity. A related party relationship is deemed to exist when one party has the ability to control, directly or indirectly, through one or more intermediaries, the other party or exercise significant influence over the other party in making the financial and/or operating decisions. Another criteria recognizes a related party relationship, whether or not the ability to control exists, if any of the following conditions applies to an entity: (i) the entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others); (ii) one entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member); (iii) both entities are joint ventures of the same third party; (iv) one entity is a joint venture of a third entity and the other entity is an associate of the third entity; or (v) the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity (if the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity).

The Company has an approval requirement and limits on the amount and extent of related party transactions in compliance with the Revised Securities Regulation Code Rule 68 and the SEC Memorandum Circular 10-2019 - *Rules on Material Related Party Transactions for Publicly-Listed Companies*. Transactions entered into with a related party amounting to 10% or more of the total consolidated assets based on the latest audited consolidated financial statements are considered material. All individually material related party transactions shall be reviewed and evaluated by the Audit and Related Party Transactions Committee and endorsed to the BOD for approval. The material related party transaction shall require the approval of at least two-thirds (2/3) votes of the members of the BOD, with at least the majority of the independent directors voting to approve the material related party transaction. For aggregate related party transactions within 12-month period with the same related party that breaches the materiality threshold, the same review and approval procedures mentioned above is required.

Transactions entered into by the Group with related parties are at arm's length and have terms similar to the transactions entered into with third parties.

Set out below are the Company's balances of due from related parties, due to related parties, and lease liabilities as at September 30, 2025 and December 31, 2024:

		September 30, 2025	December 31, 2024
Due from related parties			
Ultimate Parent			
D.M. Consunji, Inc.	P	47,290	21,083
Parent			
CASEC	P	14	14

		September 30, 2025	December 31, 2024
Other related parties			
DMCI Project Developers, Inc.	P	39,944	46,892
DMC Construction Equipment Resource Inc.		7,482	
DMCI MC Property Ventures		12,680	
Semirara Mining and Power Corporation		4,395	22,733
DMC Estate Development		11,371	-
APO Land & Quarry Corporation (ALQC)		1,728	312
IQAC		1,986	293
Southwest Luzon Power Generation		1	-
Sem-Calaca Power Corporation		1	1
	P	<u>126,892</u>	<u>91,328</u>
Due to related parties			
Other related parties			
Semirara Mining and Power Corporation	P	400,089	133,027
ALQC ²		130,880	113,607
IQAC		194,017	168,755
DMC Construction Equipment		55,804	-
Sem-Calaca Power Corporation		-	379,898
	P	<u>815,433</u>	<u>795,287</u>
Lease liabilities on land			
ALQC	P	1,756,235	1,709,330
IQAC		450,790	448,566
	P	<u>2,207,025</u>	<u>2,157,896</u>

There are no loan transactions with related parties for the first nine months of 2025. Below is the reconciliation of opening and closing balances of loan from a related party is as follows:

		Principal	Accrued Interest	Total
Balance as at January 1, 2024	P	5,967,992	-	5,967,992
Loan drawdown		9,213,398	-	9,213,398
Interest expense		-	702,502	702,502
Effect of exchange rate changes		496,450	12,087	508,537
Payment of:				
Principal		(16,277,165)	-	(16,277,165)
Interest		-	(115,264)	(115,264)
Capitalization of interest		599,325	(599,325)	-
Balance as at December 31, 2024	P	<u>-</u>	<u>-</u>	<u>-</u>

The main transactions entered by the Company with related parties for the nine months ended September 30, 2025 and 2024 are shown below:

		September 30, 2025	September 30, 2024
Transactions with ultimate parent before Cemex divestment of the Company			
Trademarks			
Cemex S.A.B. de C.V.	P	-	134,016
Corporate services and administrative expenses			
Cemex S.A.B. de C.V.	P	-	14,965
Transactions with related parties²			
Sale of cement and other services			
D.M. Consunji	P	226,415	-
DMC Estate		30,030	-
DMCI MC Property Ventures, Inc.		25,293	-
DMCI Project Developers, Inc.		188,317	-
Semirara Mining and Power Corporation		12,414	-
Southwest Luzon Power Generation		87	-
	P	<u>482,556</u>	<u>-</u>

² Includes related parties before Cemex divestment of the Company

		September 30, 2025	September 30, 2024
Purchases of raw materials, supplies and/or spare parts			
Semirara Mining and Power Corporation.....	P	992,277	-
Sem-Calaca.....		201,145	-
IQAC ¹		252,979	209,134
ALQC ¹		169,161	186,427
Cemex International Trading, LLC ¹		-	527,361
Beijing CXP Import & Export Co. ¹		-	56,779
Cemex Internacional, S.A. de C.V. ¹		-	14,577
	P	1,615,562	994,278
Land rental expenses			
IQAC.....	P	28,958	28,958
ALQC.....		48,021	48,021
	P	76,979	76,979
Cebu access fee			
ALQC.....	P	60,701	60,701
Trademarks purchased			
CIH.....	P	-	736,432
Loan drawdown			
CIH ¹	P	-	4,836,691
Royalties			
CIH ¹	P	-	436,098
Gross premiums written			
Torino Re Ltd.....	P	-	73,937
Sale of equipment (shredder)			
Cemex Espana Operaciones.....	P	-	24,714
Interest expense			
CIH ¹	P	-	307,719
Freight services/charges			
DMC Equipment Resource.....	P	222,583	-
Sunbulk Shipping, S.L. ¹		-	204,846
Sunbulk Shipping Limited.....		-	2,641
	P	222,583	207,487
Interest income			
CIH ²	P	-	30,212
Corporate services and administrative income			
ALQC ¹	P	1,322	1,697
IQAC ¹		1,359	1,739
	P	2,681	3,436

NOTE 12 – SEGMENT INFORMATION

The Company applies PFRS 8, *Operating Segment*, which are defined as the components of an entity that engage in business activities from which they may earn revenues and incur expenses; whose operating results are regularly reviewed by the entity's top management to make decisions about resources to be allocated to the segments and assess their performance; and for which discrete financial information is available. The Company's results and performance is evaluated for decision-making purposes and allocation of resources is made on a per country basis. Hence, the Company represents a single geographical operating segment. The Company's main activity is oriented to the construction industry through the production, distribution, marketing and sale of cement and other materials. For the nine months period ended September 30, 2025 and 2024, the cement sector represented approximately 99.95% and 89.8% respectively, of total net revenues before eliminations resulting from consolidation (108.98%) and (219.64%) of Operating EBITDA.

The main indicator used by the Company's management to evaluate performance is "Operating EBITDA", representing operating earnings before other income - net, interest, tax, depreciation and amortization, considering that such amount represents a relevant measure for the Company's management as an indicator of the ability to internally fund capital expenditures, as well as a widely accepted financial indicator to measure the Company's ability to service or incur debt. Operating EBITDA should not be considered as an indicator of the Company's

financial performance, as an alternative to cash flow, as a measure of liquidity, or as being comparable to other similarly titled measures of other companies.

NOTE 13 – BANK LOAN

Long-term bank loans

The reconciliation of opening and closing balances of the 2022 BDO Facility Agreement are as follows:

		Bank Loan	Accrued Interest	Total
Balance as at January 1, 2024	P	6,645,661	76,764	6,722,425
Interest expense.....		12,189	483,473	495,662
Expanded withholding tax of interest expense		–	(689)	(689)
Payment of:				
Principal		(417,734)	–	(417,734)
Interest.....		–	(493,173)	(493,173)
Balance as at December 31, 2024	P	6,240,116	66,375	6,306,491
Interest expense.....		7,519	290,538	298,057
Expanded withholding tax of interest expense			(5,811)	(5,811)
Payment of:				
Principal		(1,253,203)		(1,253,203)
Interest.....			(297,313)	(297,313)
Balance as at September 30, 2025	P	4,994,432	53,789	5,048,221

On November 29, 2024, Solid Cement Corporation signed a new term loan facility agreement (the “2024 BDO Facility Agreement”) with BDO in the aggregate principal amount of P14,600,000.

In addition, APO Cement Corporation signed a new term loan facility agreement (the “2024 BPI Facility Agreement”) with the Bank of the Philippine Islands (“BPI”) in the aggregate principal amount of up to P11,671,000.

The reconciliation of opening and closing balances of the 2024 BDO Facility Agreement and 2024 BPI Facility Agreement (collectively, the “2024 Facility Agreements”) are as follows:

		Bank Loan	Accrued Interest	Total
Balance as at January 1, 2024		–	–	–
Loan drawdowns, net of debt issuance cost....	P	16,342,505	–	16,342,505
Interest expense.....		387	82,064	82,451
Balance as at December 31, 2024	P	16,342,892	82,064	16,424,956
Loan drawdowns, net of debt issuance cost....		992,500		992,500
Interest expense.....		3,459	777,252	780,711
Expanded withholding tax on interest.....		–	(15,541)	(15,541)
Payment of:				
Interest		–	(766,553)	(766,553)
Balance as at September 30, 2025	P	17,338,851	77,222	17,416,073

Short-term Loans

The Company has a short-term credit line with BDO and BPI to cover operational/working capital requirements.

As at September 30, 2025 and December 31, 2024, outstanding balances from this short-term credit line amounts to nil and P950,000, respectively.

The reconciliation of opening and closing balances of loan follows:

		Bank Loan	Accrued Interest	Total
Balance as at January 1, 2024	P	145,000	54	145,054
Loan drawdown		9,705,000	—	9,705,000
Interest expense		—	59,137	59,137
Payment of:				
Principal		(8,900,000)	—	(8,900,000)
Interest		—	(57,782)	(57,782)
Balance as at December 31, 2024	P	950,000	1,409	951,409
Loan drawdown		1,130,000	30,106	1,160,106
Interest expense				
Expanded withholding tax on interest			(630)	(630)
Payment of:				
Principal		(2,080,000)	(30,885)	(2,110,885)
Interest				
Balance as at September 30, 2025	P	—	—	—

NOTE 14 – FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT

This note presents information on the financial risk exposure of the Company relating to credit risk, foreign currency risk, commodity price risk and liquidity risk; goals, policies and procedures of the Company to measure and manage such risks and the administration of the Company's resources.

The Company's management has overall responsibility for the development, implementation and monitoring of the conceptual framework and policies for an effective risk management.

The Company's risk management policies are intended to:

- identify and analyze the risks faced by the Company;
- implement appropriate risk limits and controls; and
- monitor the risks and the compliance with the limits.

Policies and risk management systems are regularly reviewed to reflect changes in market conditions and in the Company's activities. By means of its policies and procedures for risk management, the Company aims to develop a disciplined and constructive control environment where all employees understand their roles and obligations.

Credit Risk

Credit risk is the risk of financial loss faced by the Company if a customer or counterparty of a financial instrument does not meet its contractual obligations and originates mainly from trade receivables. As at September 30, 2025 and December 31, 2024, the maximum exposure to credit risk is represented by the balance of financial assets (excluding equity investments). Management has developed policies for the authorization of credit to customers. The exposure to credit risk is monitored constantly according to the behavior of payment of the debtors. Credit is assigned on a customer-by-customer basis and is subject to assessments which consider the customers' payment capacity, as well as past behavior regarding due dates, balances past due and delinquent accounts. In cases deemed necessary, the Company's management requires cash bonds from its customers and financial counterparties with regard to financial assets, which can be called upon if the counterparty is in default under the terms of the agreement. Cash bonds received from credit customers as at September 30, 2025 and December 31, 2024 amounted to P32,324, respectively.

The Company's management has established a policy which analyzes the creditworthiness of each new client individually before offering the general conditions of payment terms and delivery, and the review includes external ratings, when references are available, and in some cases bank references. Thresholds of credit limits are established for each client, which represent the maximum credit amount that requires different levels of approval. Customers who do not meet the levels of solvency requirements imposed by the Company can only carry out transactions with the Company by paying cash in advance.

The carrying amount of financial assets below represents the maximum credit exposure without taking into account the effect of collateral and any credit enhancements. The maximum exposure to credit risk as at September 30, 2025 and December 31, 2024 is as follows:

		Gross Carrying Amount		Net Carrying Amount	
		September 30, 2025 (Unaudited)	December 31, 2024 (Audited)	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
<i>Financial assets at amortized cost</i>					
Cash and cash equivalents (Note 6)	P	1,616,129	1,935,047	1,616,129	1,935,047
Trade receivables (Note 13)		855,914	757,393	786,320	737,803
Due from related parties (Note 13)		126,892	91,328	126,892	91,328
Other current accounts receivable		158,713	1,393,228	158,713	1,393,228
Long-term time deposits, rental guaranty deposits and finance lease receivable, net of current portion (under other assets and noncurrent accounts receivable)		83,739	217,301	83,739	217,301
	P	2,841,387	4,394,297	2,771,793	4,374,707

Trade Receivables

The Company applied the simplified approach in measuring ECLs which uses a lifetime expected loss allowance for all trade receivables. To measure the ECLs, trade receivables have been grouped by shared credit risk characteristics based on customer type and determines for each group an average ECL, considering actual credit loss experience over the last 12 months and the Company's view of economic conditions over the expected lives of the trade receivables. The ECL rate that is used to arrive at the ECL arising from the current year credit sales is computed as the percentage of prior year's credit sales that eventually became more than 365 days overdue. The ECL rate is 100% for the trade receivables that are 365 and more days past due. The Company has identified the GDP growth rate to be the most relevant macroeconomic factor that affects the ability of the customers to settle the receivables. However, it was assessed that the adjustment for forward-looking information is not material. The Company does not have trade receivable for which no allowance is recognized because of collateral.

The following table provides information about the exposure to credit risk and ECLs for trade receivables:

As at September 30, 2025	Current	1 to 30 days	31 to 60 days	More than 60 days	Total
Average ECL rates	0.1%	1.7%	6.4%	72.9%	8.1%
Trade receivables - gross carrying amount	P 719,650	34,488	8,647	93,130	855,915
Allowance for ECL	591	586	557	67,860	69,594

As at December 31, 2024	Current	1 to 30 days	31 to 60 days	More than 60 days	Total
Average ECL rates	0.1%	0.8%	2.2%	33.0%	2.6%
Trade receivables - gross carrying amount	P 599,077	79,353	25,160	53,803	757,393
Allowance for ECL	630	621	559	17,780	19,590

Other Financial Assets (excluding Equity Instruments)

Impairment on cash and cash equivalents, long-term time deposits (recognized under "Other assets and noncurrent accounts receivable" account in the condensed consolidated interim statements of financial position) has been measured on a 12-month expected credit loss basis and reflects the short maturities of the exposures. The Company considers that these financial assets, as well as derivative assets, have low credit risk as these are held with reputable banks and financial institutions. All other debt investments and other receivables (i.e., due from related parties, other current accounts receivable, rental guaranty deposits and sublease receivable, net of current portion) that are measured at amortized cost are considered to have low credit risk, because they have low risk of default as the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

Credit risk on these financial assets has not increased significantly since their initial recognition. Hence, the loss allowance calculated was therefore limited to 12 months expected losses. The Company has determined an insignificant amount of ECL on these financial assets because of the zero-instance of default from the counterparties and the effect of forward-looking information on macro-economic factors affecting the ability of the counterparties to settle the receivables were assessed to have an insignificant impact.

The Company sells its products primarily to retailers in the construction industry, with no specific geographic concentration of credit within the country in which the Company operates. As at September 30, 2025 and December 31, 2024, no single customer individually accounted for a significant amount of the reported amounts of sales or the balances of trade receivables.

Movements in the Allowance for ECL on Trade Receivables

Changes in the allowance for impairment losses for the nine-month period ended September 30, 2025 and for the year ended December 31, 2024 are as follows:

		September 30, 2025	December 31, 2024
Balance at beginning of period	P	19,590	12,840
Charged to selling expenses		50,004	7,492
Write-off of trade receivables		-	(742)
Balance at end of period	P	69,594	19,590

Foreign Currency Risk

Foreign currency risk is the risk that the fair value of the future cash flows of a financial instrument will fluctuate in relation to changes in exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates to its operational and financing activities. The objective of foreign currency risk management is to manage and control exposures within acceptable parameters while optimizing the return. The Company's revenue and costs are generated and settled mainly in Philippine Peso. For the nine months ended September 30, 2025, and as at December 31, 2024 approximately less than 5% of the Company's net sales, were generated in U.S. dollars.

The Company had an exposure arising from the dollar-denominated financial obligations as compared to the currency in which the majority of the Company's revenues are generated. The Company's only revenue denominated in U.S. dollars to cover such dollar-denominated obligations are those generated by exports.

Foreign exchange fluctuations occur when any member of the Company incur monetary assets and liabilities in a currency different from its functional currency. These translation gains and losses are recognized in the condensed consolidated interim statements of profit or loss and other comprehensive income.

As at September 30, 2025 and December 31, 2024, a summary of the quantitative information of the exposure of the Company due to foreign currencies is provided to the top management on the basis of its risk management policy as follows:

	As at September 30, 2025	
	<i>(in U.S. dollar)</i>	<i>(in Euro)</i>
Cash and cash equivalents	US\$3,497	€-
Trade receivables	167	-
Net liabilities denominated in foreign currency	US\$6,368	€-

	As at December 31, 2024	
	<i>(in U.S. dollar)</i>	<i>(in Euro)</i>
Cash and cash equivalents	US\$23,012	€-
Trade payables	(2,436)	(1,402)
Lease liabilities	(3,622)	-
Net liabilities denominated in foreign currency	(US\$16,954)	(€1,402)

The most significant closing exchange rates and the approximate average exchange rates of Philippine Peso per U.S. dollar and Euro used in the consolidated financial statements were as follows:

	September 30, 2025		December 31, 2024	
Currency	Closing	Average	Closing	Average
U.S. dollar	58.20	57.88	57.85	57.39
Euro	68.32	67.26	59.92	61.95

Sensitivity Analysis on Foreign Currency Risk

The following table demonstrates the sensitivity to a reasonably possible change in various foreign currencies, with all other variables held constant, of the Company's profit (loss) before income tax and equity for the nine-month period ended September 30, 2025, and for the year ended December 31, 2024:

U.S. Dollar	Strengthening (Weakening) of Philippine Peso	Effect on Earnings before Income Tax	Effect on Equity
September 30, 2025	+0.61%	P1,301	P976
	-0.61%	(1,301)	(976)
December 31, 2024	+4.47%	P43,837	P32,878
	-4.47%	(43,837)	(32,878)

EUR	Strengthening (Weakening) of Philippine Peso	Effect on Earnings before Income Tax	Effect on Equity
September 30, 2025	+14.03%	-	-
	-14.03%	-	-
December 31, 2024	+1.97%	P1,655	P1,241
	-1.97%	(1,655)	(1,241)

Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will affect the Company's income or the value of its holdings of financial instruments. As at September 30, 2025 and December 31, 2024, the Company is exposed to interest rate risk primarily on the floating interest rate tranche corresponding to P21,664,959 and P22,732,016, respectively, of the long-term bank loan with BDO and BPI (see Note 13).

Sensitivity analysis on Interest Rate Risk

As at September 30, 2025 and December 31, 2024, a hypothetical 1% increase in interest rate, with all other variables held constant, the Company's profit for the nine months ended September 30, 2025 and 2024, would have decreased by approximately P162,487 and P43,784 respectively. Conversely, a hypothetical 1% decrease in interest rate would have the opposite effect.

Liquidity Risk

Liquidity risk is the risk that the Company will not have sufficient funds available to meet its obligations. The Company has fulfilled its operational liquidity needs primarily through its own operations and expects to continue to do so for both the short and long-term liabilities. Although cash flow from the Company's operations has historically covered its overall liquidity needs for operations, servicing debt and funding capital expenditures and acquisitions, the consolidated entities are exposed to risks from changes in prices and currency controls, interest rates, inflation, governmental spending, social instability and other political, economic and/or social developments in the countries in which they operate, any one of which may materially decrease the Company's net profit and reduce cash flows from operations. Accordingly, in order to meet its liquidity needs, the Company also relies on cost-control and operating improvements to optimize capacity utilization and maximize profitability, as well as proceeds from asset sales, advances or borrowings under credit facilities or proceeds from debt from financial institutions or related parties. The Company's consolidated net cash flows used in operating activities, as presented in its unaudited condensed consolidated interim statements of cash flows, amounted to P823,980 and P1,760,321 for the nine months ended September 30, 2025, and 2024, respectively. In addition, there is no significant concentration of a specific supplier relating to the purchase of raw materials.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

As at September 30, 2025					
	Carrying Amount	Contractual Cash Flows	12 Months or Less	1 to 5 Years	More than 5 Years
Trade payables.....	P 4,550,884	4,550,884	4,550,884	-	-
Due to related parties	815,433	815,433	815,433	-	-
Other accounts payable and accrued expenses*	423,498	423,498	423,498	-	-
Lease liabilities	2,354,352	5,842,624	283,052	734,293	4,825,279
Bank loan	22,333,285	32,882,908	2,999,341	8,775,293	21,108,274
Total	P 30,477,452	44,515,347	9,072,208	9,509,586	25,933,553

*Excluding government-related payables, unearned income and other non-financial liabilities amounting to P78.4 million.

		As at December 31, 2024				
		Carrying Amount	Contractual Cash Flows	12 Months or Less	1 to 5 Years	More than 5 Years
Trade payables.....	P	4,099,373	4,099,373	4,099,373	—	—
Due to related parties		794,309	794,309	794,309	—	—
Unearned income, other accounts payable and accrued expenses* ..		426,407	426,407	426,407		
Lease liabilities		2,540,403	6,208,383	505,370	800,756	4,902,257
Bank loan		23,533,008	36,015,922	4,069,976	9,841,135	22,104,811
Total	P	31,393,500	47,544,394	9,895,435	10,641,891	27,007,068

*Excluding government-related payables, unearned income from insurance premiums and other non-financial liabilities amounting to P1,293.1 million.

The interest payments on floating rate bank loans reflect market forward interest rates at the reporting date and these amounts may change as market interest rates change. Except for this financial liability, it is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Insurance Risk Management

The Company faces the risks of loss and damage to its products, property, and machinery due to, among other things, fire, theft and natural disasters such as floods and earthquakes which may also bring fatalities and injury of its employees and contractors. Such events may cause a disruption to or cessation of its operations. While the Company believes that it has suitable insurance coverage in line with industry practices, in some instances the Company's insurance coverage may not be sufficient to cover all of its potential unforeseen losses and liabilities. Additionally, the Company's insurance coverage is subject to deductibles, exceptions, and limitations, and may not cover all the risks to which the Company may be exposed to or cover all losses or all types of claims that may arise from an incident.

In addition, the Company's insurance coverage is subject to periodic renewal. If the availability of insurance coverage is reduced significantly for any reason, the Company may become exposed to certain risks for which it is not and, in some cases could not be, insured. Moreover, if the Company's losses exceed its insurance coverage, or if the Company's losses are not covered by the insurance policies it has taken up, or if the Company is required to pay claims to its insurer pursuant to the reinsurance arrangements, the Company may be liable to cover any shortfall or losses. The Company's insurance premiums may also increase substantially because of such claim from the Company's insurers.

The foregoing risk exposure is mitigated, through making reasonable approximation after an evaluation of reported claims in the past of the Parent Company's operating subsidiaries, by retaining only insurance risk from insurance policies in which the operating subsidiaries have low probability of incurring losses.

NOTE 15 – FAIR VALUE OF FINANCIAL ASSET AND FINANCIAL LIABILITIES

The fair values of cash and cash equivalents, trade receivables, due from related parties, other current accounts receivable (under financial assets measured at amortized cost), trade payables, amounts due to related parties, other accounts payable and accrued expenses (under financial liabilities measured at amortized cost) reasonably approximate their carrying amounts considering the short-term maturities of these financial instruments.

The carrying amounts and fair values of financial assets and liabilities are as follow:

		September 30, 2025		December 31, 2024	
		Carrying amount	Fair value	Carrying amount	Fair value
<u>Financial assets measured at amortized cost</u>					
Long-term time, rental guaranty and other refundable deposits	P	49,069	49,069	P 214,385	214,385
Finance lease receivable.....		2,346	2,346	9,221	9,221
	P	51,415	51,415	P 223,606	223,606
<u>Financial liabilities measured at amortized cost</u>					
Bank loans.....	P	22,333,284	24,366,728	P 23,533,008	25,878,880

The fair values disclosed for the financial assets and financial liabilities above are categorized under level 2 of fair value hierarchy.

The estimated fair value of the Company's long-term time and rental guaranty deposits, sublease receivable and bank loans are either based on estimated market prices for such or similar instruments, considering interest rates

currently available for the Company to negotiate debt with the same maturities, or determined by discounting future cash flows using market-based interest rates currently available to the Company.

NOTE 16 – CONTINGENCIES

As at September 30, 2025 and December 31, 2024, the Company is involved in various legal proceedings of minor impact that have arisen in the ordinary course of business. These proceedings involve: 1) national and local tax assessments; 2) labor claims; and 3) other diverse civil actions. Although there is no guarantee for a favorable outcome, the Company believes that it has made adequate provisions to cover current and contemplated general and specific litigation risks. In relation to ongoing legal proceedings, the Company is able to make a reasonable estimate of the expected loss or range of possible loss, as well as disclose any provision accrued for such loss. However, the Company may not be able to make a reasonable estimate of the expected loss or range of possible loss or may be able to do so but believes that disclosure of such information on a case-by-case basis would prejudice Company's position in the ongoing legal proceedings or in any related settlement discussions. Accordingly, in these cases, the Company has disclosed qualitative information with respect to the nature and characteristics of the contingency but has not disclosed the estimate of the range of potential loss.

Arbitration Proceedings with Limay Power, Inc

In July 2023, Solid Cement initiated arbitration proceedings with the Philippine Dispute Resolution Center, Inc. against Limay Power, Inc. (LPI), on the ground that LPI has wrongfully terminated the retail power supply agreement for electricity to Solid Cement's plant located in Antipolo City, Province of Rizal. This retail power supply agreement between Solid Cement and LPI would have expired in December 2025.

The arbitral tribunal released its Final Award and ordered LPI to pay Solid Cement an aggregate amount of around P517 million representing damages and other payables. On the other hand, the Final Award also confirmed the contractual charges due from Solid Cement to LPI under the subject retail power supply agreement amounting to around P237 million.